

Introduction to Financial Management

Financial Management is concerned with the planning, procurement, allocation, and effective utilization of financial resources of a business. It deals with how a firm raises funds, where those funds should be invested, and how the resulting earnings should be distributed.

Core Questions of Financial Management

- ♦ How much finance is required?**
- ♦ From which sources should funds be raised?**
- ♦ Where should the available funds be invested?**
- ♦ How much profit should be distributed to shareholders?**

The ultimate purpose is to ensure efficient financial decision-making and creation of firm value.

Nature of Financial Management

Financial Management has a continuous and decision-oriented nature.

Major Characteristics

- ♦ **Decision-oriented** – involves investment, financing, and dividend decisions
- ♦ **Continuous process** – financial decisions are required throughout the life of the business
- ♦ **Risk-return oriented** – higher expected return generally involves greater risk
- ♦ **Future-oriented** – considers future cash flows and business requirements
- ♦ **Value-oriented** – focuses on increasing the long-term value of the firm

Thus, financial management connects financial resources with business objectives.

Scope of Financial Management

The scope of Financial Management covers all major activities related to corporate finance.

Major Areas

- ♦ **Financial planning and forecasting**
- ♦ **Investment and capital budgeting decisions**
- ♦ **Working capital management**
- ♦ **Financing and capital structure decisions**
- ♦ **Dividend and retained earnings decisions**
- ♦ **Cost of capital determination**
- ♦ **Financial control and risk management**

The scope extends from raising funds to their final utilization and distribution of earnings.

Importance of Financial Management

Effective Financial Management is essential because every business activity involves the use of financial resources.

Importance

- ♦ **Ensures availability of adequate funds**
- ♦ **Promotes efficient utilization of resources**
- ♦ **Helps control financial risk**
- ♦ **Supports investment and expansion decisions**
- ♦ **Maintains liquidity and solvency**
- ♦ **Improves profitability and financial stability**
- ♦ **Contributes to shareholder wealth creation**

Good financial management ensures that funds are neither unnecessarily idle nor inefficiently utilized.

Functions of Financial Management

Financial management performs several interconnected functions.

Major Functions

- ♦ **Financial Planning – estimating future financial requirements**
 - ♦ **Investment Decision – deciding where funds should be invested**
 - ♦ **Financing Decision – deciding how funds should be raised**
 - ♦ **Dividend Decision – deciding distribution and retention of profits**
 - ♦ **Working Capital Management – managing short-term assets and liabilities**
 - ♦ **Financial Control – monitoring financial performance and use of funds**
- These functions collectively support the financial health of the organization.**

Three Basic Financial Decisions

Financial management mainly revolves around three fundamental decisions.

1. Investment Decision

Determines where the firm's funds should be invested.

2. Financing Decision

Determines how the required funds should be obtained.

3. Dividend Decision

Determines how profits should be distributed between shareholders and retained in the business.

Relationship:

Investment → Financing → Dividend

These decisions are interdependent and collectively influence the risk, return, and value of the firm.

Investment Decision

Investment decision determines the allocation of financial resources among available investment opportunities.

Major Types:

- ♦ **Capital Investment – investment in long-term assets and projects**
- ♦ **Working Capital Investment – investment in cash, inventory, receivables, etc.**

Capital Budgeting Considerations:

- ♦ **Initial investment**
- ♦ **Expected future cash flows**
- ♦ **Project life**
- ♦ **Risk and uncertainty**
- ♦ **Expected return**

A sound investment decision selects projects that are expected to increase the value of the firm.

Financing Decision

Financing decision determines the appropriate sources and mix of funds required by a business.

Sources of Finance:

- ♦ **Equity shares**
- ♦ **Preference shares**
- ♦ **Debt/borrowed funds**
- ♦ **Retained earnings**

Major Considerations:

- ♦ **Cost of finance**
- ♦ **Financial risk**
- ♦ **Control and ownership**
- ♦ **Flexibility**
- ♦ **Capital structure**

The objective is to obtain funds at an appropriate cost while maintaining a suitable risk-return balance.

Dividend Decision

Dividend decision determines how much of the firm's earnings should be:

- ♦ **Distributed to shareholders as dividends**
- ♦ **Retained for future investment and growth**

Factors Affecting Dividend Decision:

- ♦ **Earnings and profitability**
- ♦ **Cash availability**
- ♦ **Growth opportunities**
- ♦ **Stability of earnings**
- ♦ **Shareholders' expectations**
- ♦ **Tax considerations**
- ♦ **Legal and contractual restrictions**

A proper dividend policy balances current shareholder income with future business growth.

Profit Maximization

Profit maximization means increasing the firm's accounting profit.

Advantages:

- ♦ **Simple and easy to understand**
- ♦ **Focuses on profitability**
- ♦ **Useful for short-term performance measurement**

Limitations:

- ♦ **Ignores timing of returns**
- ♦ **Does not adequately consider risk**
- ♦ **May encourage short-term decisions**
- ♦ **Does not directly consider market value**

Therefore, profit maximization alone is not considered sufficient as the modern financial objective.

Wealth Maximization

Wealth maximization aims to maximize the market value of shareholders' investment.

Key Features:

- ♦ **Considers time value of money**
- ♦ **Considers risk and uncertainty**
- ♦ **Focuses on future cash flows**
- ♦ **Encourages long-term decision-making**
- ♦ **Directly relates to shareholder value**

Modern Objective:

Maximize the long-term market value of the firm.

Hence, wealth maximization is generally considered superior to profit maximization as a financial objective.

Meaning of Cost of Capital

Cost of Capital is the minimum required rate of return that a firm must earn on its investments to maintain the value of its sources of finance. It represents the cost paid by a company for using funds from different capital providers.

Components:

- ♦ **Cost of Debt**
- ♦ **Cost of Preference Capital**
- ♦ **Cost of Equity**
- ♦ **Cost of Retained Earnings**

The individual costs are combined according to their weights to calculate the overall cost of capital.

Significance of Cost of Capital

Cost of capital is an important financial decision-making tool.

Major Uses:

- ♦ **Acts as a benchmark for investment decisions**
- ♦ **Used as a discount rate in capital budgeting**
- ♦ **Helps determine optimum capital structure**
- ♦ **Assists in evaluating financial performance**
- ♦ **Helps compare different sources of finance**
- ♦ **Supports valuation of investment proposals**

If the expected return from a project is below the required cost of capital, the investment may reduce firm value.

Cost of Debt

Cost of Debt is the effective cost incurred by a company for using borrowed funds. Since interest is generally tax-deductible, after-tax cost of debt is important for financial decisions.

Irredeemable Debt:

$$\text{Kd} = I / NP \times 100$$

After tax:

$$\text{Kd} = I / NP \times (1 - T) \times 100$$

Where:

I = Annual interest

NP = Net proceeds

T = Tax rate

Key Point:

Debt generally has a lower effective cost because of the tax shield on interest.

Cost of Redeemable Debt

When debt is redeemable after a specified period, both interest and the difference between issue proceeds and redemption value must be considered.

Approximate Formula:

$$K_d = [I + (RV - NP)/n] / [(RV + NP)/2] \times 100$$

Where:

- ♦ I = Annual interest
- ♦ RV = Redemption value
- ♦ NP = Net proceeds
- ♦ n = Number of years

For after-tax cost, interest is adjusted for the applicable tax rate.

Cost of Preference Capital

Preference shareholders receive a fixed dividend, so the cost of preference capital is based on the dividend expected by preference shareholders.

Irredeemable Preference Shares:

$$K_p = D / NP \times 100$$

Where:

- ♦ **D = Annual preference dividend**
- ♦ **NP = Net proceeds**

Redeemable Preference Shares:

The calculation also considers the redemption value, net proceeds, and period of redemption.

Unlike debt interest, preference dividend is generally not tax-deductible.

Cost of Equity Capital

Cost of Equity is the minimum return expected by ordinary shareholders for investing in the company's equity.

Two important models are included in the syllabus:

- ♦ CAPM Model**
- ♦ Gordon's Dividend Growth Model**

Both models estimate the required return on equity from different perspectives.

Cost of Equity: CAPM Model

The Capital Asset Pricing Model (CAPM) determines expected equity return based on systematic risk.

Formula:

$$\mathbf{K_e = R_f + \beta(R_m - R_f)}$$

Where:

- ♦ **K_e = Cost of Equity**
- ♦ **R_f = Risk-free rate**
- ♦ **β = Beta coefficient**
- ♦ **R_m = Expected market return**
- ♦ **$R_m - R_f$ = Market risk premium**

Interpretation:

Higher beta → Higher systematic risk → Higher required return.

Cost of Equity: Gordon's Model

Gordon's Model estimates the cost of equity using the expected dividend and constant growth rate.

Formula:

$$K_e = D_1/P_0 + g$$

Where:

- ♦ **D_1 = Expected dividend per share**
- ♦ **P_0 = Current market price per share**
- ♦ **g = Constant growth rate**

Assumption:

The model assumes dividends grow at a constant rate over time.

It is particularly useful for companies following a relatively stable dividend policy.

Cost of Retained Earnings

Retained earnings are profits kept within the business instead of being distributed as dividends. Although the company does not make a direct cash payment for retained earnings, they have an opportunity cost.

Basic Concept:

The shareholders could have received the earnings as dividends and invested them elsewhere.

Therefore:

$$K_r \approx K_e$$

The exact calculation may adjust for personal tax, brokerage, and other shareholder-related costs, depending on the method prescribed.

Combined / Overall Cost of Capital

A company normally uses more than one source of finance. Therefore, the overall cost is calculated by giving appropriate weights to individual sources. This is known as Weighted Average Cost of Capital (WACC).

Formula:

$$\text{WACC} = W_d K_d + W_p K_p + W_e K_e + W_r K_r$$

Where:

- **W_d, W_p, W_e, W_r = Proportion/weight of each source**
- **K_d, K_p, K_e, K_r = Individual cost of each source**